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An introduction to reinsurance pricing

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Agenda

- What is reinsurance pricing ?
- What do we do ?
- Key assumptions that feed into pricing
- The link between claims and price

What is reinsurance pricing

- Perhaps best to start with “what is Reinsurance”
  - A tool to allow offices to pass off risk
  - And thus to stabilise profits
  - And to have reduced capital (less need for shareholder cash injections etc)
  - But also to take advantage of reinsurance knowledge

- On a typical piece of UK Term or CI business
  - The reinsurer takes 90% or even 100% of the risk
  - So pricing that risk is key for us reinsurers

- In simplest form, reinsurance pricing is where we determine the premium we should charge to cover that 90% / 100% of the risk

What do we do ? What assumptions do we use ?

- Form our best view of the likely cost of claims & persistency

- Using data from the client and the wider industry

- We will look at
  - Distribution data
  - Application form
  - Underwriting manual
  - Client processes (eg around post issue sampling)
  - Claims philosophy
  - Past claims experience
  - Our view of trends in the market (eg mortality improvements)
  - Any likely one off shocks (eg in Ireland, incorporating views over likely cost impact of law commission findings)

The link between claims & price

- Ultimately, almost all of our price is to pay claims !
- So claims and price are inextricably linked
- For example, if a company chooses to have a certain claims philosophy eg
  - A company decides to start paying on all heart attacks, regardless of troponin level
  - Our research has suggested this costs around 2% higher than paying on t200
  - So we'd have to reflect that in price
- It's not just about philosophy decisions but also general claims control, approach to ex-gratia claims etc
- There is no "right or wrong" here – just a need to ensure that claims teams and pricing teams are on the same page !

Questions ?

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